

Exchange Rate Management Systems (Regimes)

- Flexible (Floating) Exchange Rate System
 - Markets determine and manage exchange rates
- Fixed Exchange Rate System
 - Governments manage exchange rates
- Managed Float Exchange Rate System
 - Combination of Flexible and Fixed Systems
- Exchange Controls
 - Governments monopolize currency markets

The Flexible (Floating) Exchange Rate System

The spot price of foreign currency is market-driven, determined by the interaction of private demand and supply for that currency. The market clears itself through the price mechanism.

Under the Flexible Exchange Rate System:

- A fall in the market price (the exchange rate value) of a currency is called a ***depreciation*** of that currency.
- A rise in the market price (the exchange rate value) of a currency is called an ***appreciation*** of that currency

The Fixed Exchange Rate System

- Fixed exchange rates are not permitted to fluctuate freely on the market or to respond to daily changes in demand and supply.
- Exchange variations, triggered by changes in the demand and/or supply are permitted only within the band (or spread).
- Central banks maintain the band through ***CB interventions***.

Under the Fixed Exchange Rate System:

- A discrete official reduction in the otherwise fixed par value of a currency is called a ***devaluation***.
- A discrete official increase in the otherwise fixed par value of a currency is called a ***revaluation***.

The Managed Float Exchange Rate System

- Central banks intervene in the foreign exchange markets to influence the exchange rate in a direction they consider desirable.
- This system is sometimes referred to as a *dirty float*.

Exchange Controls

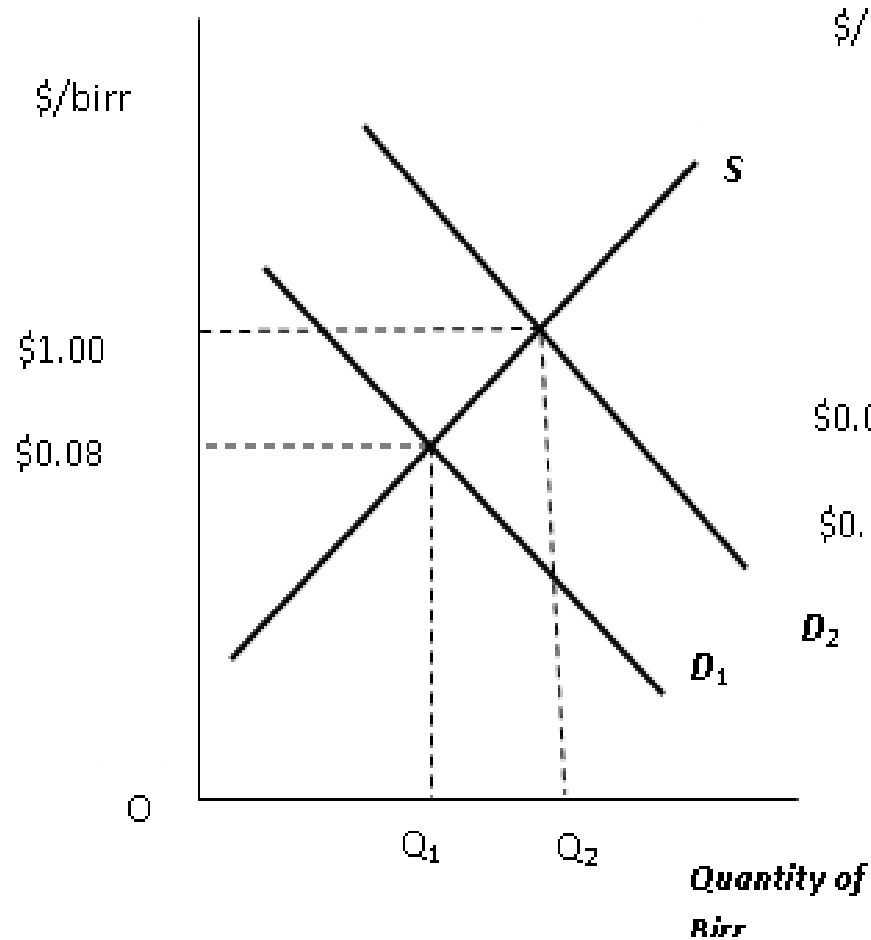
- Exchange controls refer to arrangements by which governments attempt to control purchases and sales of currencies by individuals and firms.
- Through rules, regulations, and price manipulations, exchange controls attempt to influence who buys and sells currencies, in what quantities, at what prices, and for what purposes.

How exchange rate policy functions?

- **Under** floating exchange rate regime, the authorities do not intervene to buy or sell their currency in the foreign exchange market.
- Rather, they allow the value of their currency to change due to fluctuations in the supply and demand of the currency.
- In the figure below the exchange rate is initially determined by the interaction of the demand (D_1) and supply (S_1) of Birr at the exchange rate of \$.08/Birr1.

- There is an increase in the demand for Ethiopian exports, which shifts the demand curve from D_1 to D_2 , and the increase in the demand for Birr leads to an appreciation of the Birr from \$0.08/ birr1 to \$1/birr1.
- Figure b, examines the impact of an increase in the supply of Birr due to an increased demand for US exports and therefore dollars. The increased supply of birr shift the S_1 schedule top the right to S_2 resulting in a depreciation of the Birr to \$0.06/birr1.
- The essence of a floating exchange rate is that the exchange rate adjusts in response to changes in the supply and demand for a currency.

a) Increase in demand



b) Increase in supply

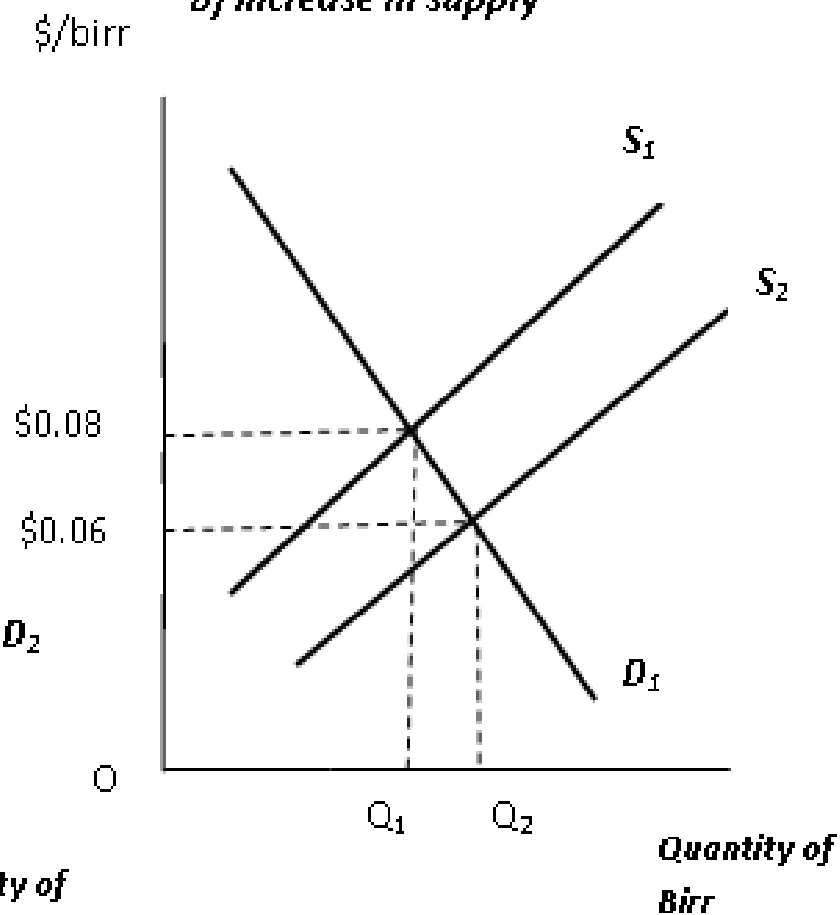


Figure 5.1 Floating exchange rate regime

Fixed exchange rate regime

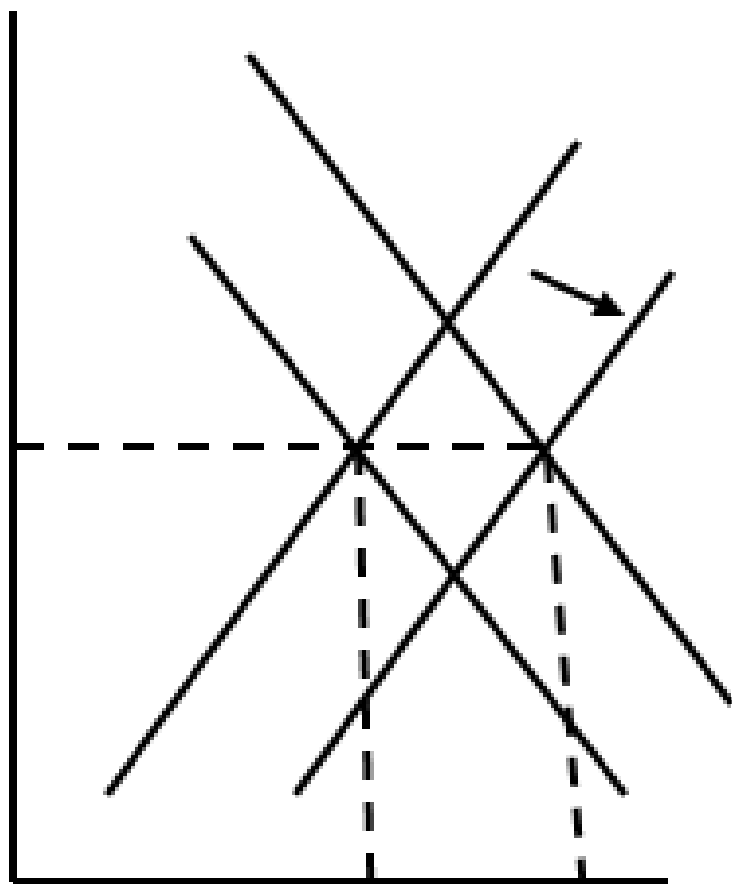
- In figure 4.2 (a) the exchange rate is assumed to be fixed by the authorities at the point where the demand schedule (D_1) intersects the supply schedule (S_1) at \$0.08/ birr1.
- If there is an increase in the demand for birr, which shifts the schedule from D_1 to D_2 , there is a resulting pressure for the birr to be revalued.
- To avert an appreciation it is necessary for the central bank to sell Q_1Q_2 of birr to purchase dollars in the foreign exchange market, these purchases shift the supply of birr from S_1 to S_2 .

Cont...

- Such intervention eliminates the excess demand for birr so that the exchange rate remains fixed at \$0.08/ birr1.
- The intervention increases the central banks reserves of USD while increasing the amount of birr in circulation.
- Figure 4.2 (b) depicts an initial situation where the exchange rate is pegged by the authorities at the point where the demand schedule (D_1) intersects the supply schedule (S_1) at \$0.08/ birr1.

- An increase in the supply of birr (increased demand of USD) shifts the supply schedule from S_1 to S_2 .
- The result is an excess supply of birr at the prevailing exchange rate.
- This means that there will be pressure for the birr to be devalued.

- To avoid this, the national Bank of Ethiopia has to intervene in the foreign exchange market to purchase Q_1Q_2 birr to peg the exchange rate.
- The intervention is represented by a rightward shift of the demand schedule from D_1 to D_2 .
- Such intervention removes the excess supply of birr so that the exchange rate remains pegged at \$0.08/ birr1.



Quantity
of Birr

